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Recycling with the Best

Weekly Ship Recycling Report

13 January 2024 - 19 January 2024

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Highlights of the week

In the evaluation of the ship recycling sector this week, the Indian market continued to decline, and there appears to be no demand for either the vessels or the scrap; the future of this recycling destination is still largely uncertain. The market for Bangladesh continues to be modest despite buyers presenting higher price offers. This price hike is attributed to their efforts to obtain LC, their inability to procure vessels locally, and the refusal of cash buyers to sell vessels at lower prices. Pakistan appears to be adopting a cautious stance given the upcoming elections and their potential impact on the nation's economic stability. Turkey exhibited a degree of stability, with minimal variation in imports.

As a result of escalating tensions in the Red Sea and reports of an increasing number of vessels deviating via COGH (Cape of Good Hope), the majority of suppliers in the region are experiencing significantly increased demand, which is causing a severe shortage of available bunker and fully reserved barge schedules, mandating longer lead times than usual. Although there are already concerns increasing in Singapore, it is anticipated that this trend will spread to all other locations as additional vessels continue to refuel in contemplation of the longer voyage in comparison to the Suez route.

The Red Sea waterway, which is linked to the Suez Canal, functions as a crucial trading route and oversees a substantial share of global commerce, including the exportation of oil. Significantly, it constitutes 10% to 15% of the total global commerce and encompasses 30% of the volumes of container transportation on a global scale. The ongoing conflict is having a noticeable effect on the global economy as an approximate reduction of 1.3% in worldwide trade has been estimated for November and December. Furthermore, in its semiannual report, the World Bank issued a warning that disruptions to critical maritime routes are straining supply networks and heightening the risk of inflationary constraints.

Exchange Rates:

USD / INR ₹

This Week	:	83.13
Previous Week	:	82.91
Lost	:	0.22

USD / BDT ৳

This Week	:	109.75
Previous Week	:	109.79
Gained	:	0.04

USD / PKR Rs

This Week	:	280.24
Previous Week	:	277.76
Lost	:	2.48

USD / TRY ₺

This Week	:	30.18
Previous Week	:	30.09
Lost	:	0.09

India

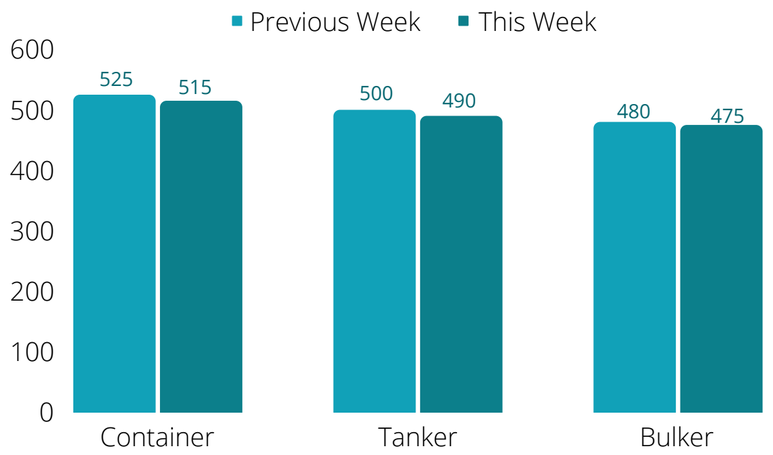
The market saw a further decline and remains uncertain about its potential for rebound.

- The market here is currently experiencing a significant decline, with little to no demand for vessels and scrap.
- As indicated in the previous report, the forthcoming course at this destination continues to be puzzling.
- The central bank has projected that India's economic growth is expected to reach around 7% in the next fiscal year, with inflation averaging around 4.5%.
- There is a significant potential for a shift in India-US trade. India has recently established an in-house system to monitor and regulate the export of steel and aluminum products to the United States, resulting in reduced duties. According to recent reports, the Department of Commerce has finalized the terms of reference for the Joint Monitoring Mechanism (JMM) and it aims to streamline the process of exporting certain steel and aluminum products to the United States, without imposing any extra duties. The United States has agreed with the provisions that have been proposed.

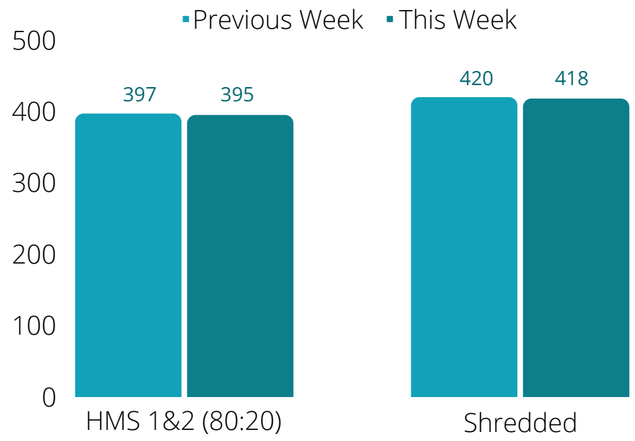
Beaching Dates

23 January to 30 January 2024
08 February to 15 February 2024
23 February to 27 February 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded

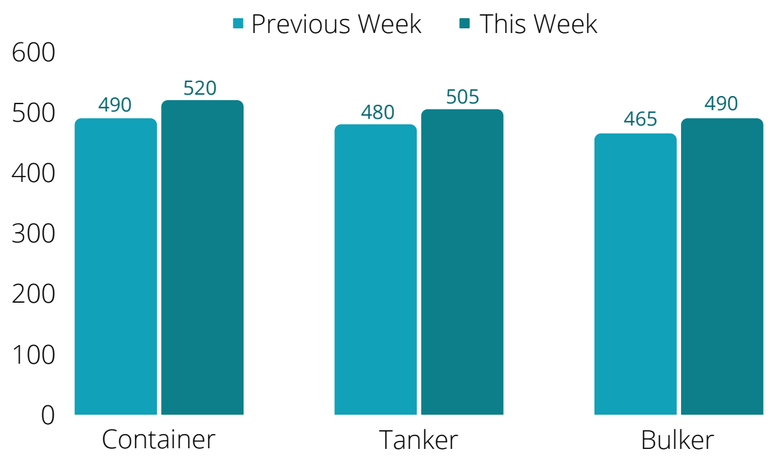


Bangladesh

The market is not favorable, but prices remain elevated due to the scarcity of tonnage and the beginning of the new year.

- The current increase in vessel prices can be attributed to buyers attempting to utilize the LC facilities.
- Buyers are currently willing to pay higher prices due to the scarcity of vessels in the local market and the reluctance of cash buyers to sell at lower costs.
- The market seems unfavorable, however, buyers are making efforts to buy.
- The Bangladesh Bank has adjusted Bangladesh's economic growth target for the fiscal year 2023-24, lowering it to 6.5 percent from the previous projection of 7.5 percent. The revision of the growth target was made in response to the IMF's downward revision of Bangladesh's economic growth forecast from 6.5 percent to 6 percent.

Price for Recycling Ships in Bangladesh



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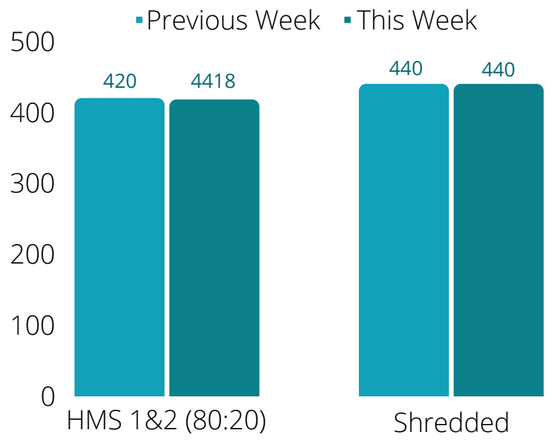


Beaching Dates

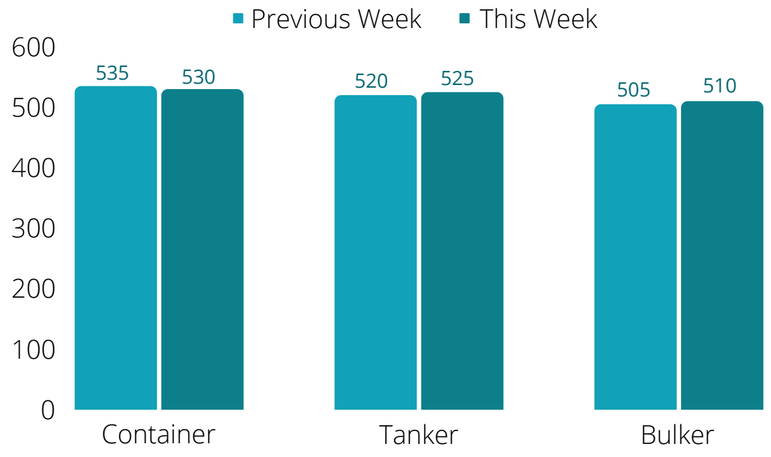
28 January to 30 January 2024
11 February to 14 February 2024
26 February to 29 February 2024

Pakistan

The market is currently experiencing low activity due to a decline in demand.

- Market activity is subdued since demand is significantly reduced in anticipation of the upcoming elections.
- Recyclers are concerned about potential post-election instability and are taking precautions to safeguard themselves against it.
- The foreign exchange market is gradually improving, and the value of the PKR is currently stable.
- A surge in geopolitical tension between Pakistan and Iran had a significant impact on Pakistan's bonds and stocks and raised concerns about the presently fragile state of the country's economy.

Price for Recycling Ships in Pakistan



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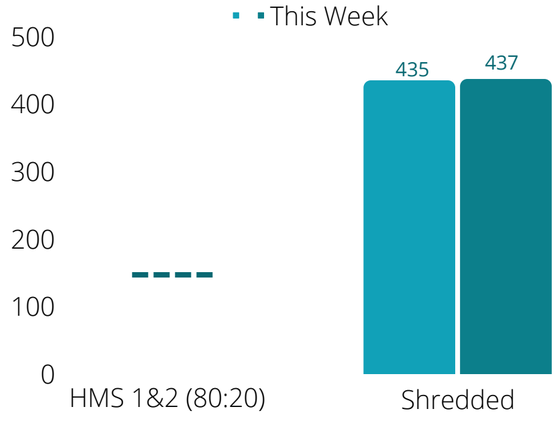


Beaching Dates

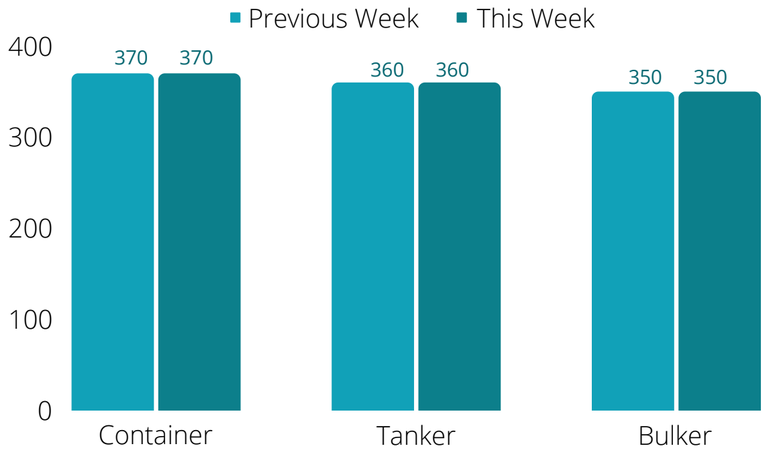
Throughout the month

Türkiye

The market continues to exhibit stability, yet there have been some fluctuations in the imports.

- The market remains stable with a slight decline of 3 USD in imports, while the local market remains unchanged.
- The central bank is expected to conclude its rate hikes this month, reaching a projected increase of 45%, just before the upcoming municipal elections in March. Consequently, it anticipates a decline in inflation to 36% this year, followed by further reductions to 14% in 2025, and eventually reaching single digits by 2026.
- The Turkish lira has further depreciated, reaching a new low of 30 per USD; by the end of the year, it is anticipated to have increased to 40 per USD.

Price for Recycling Ships in Türkiye



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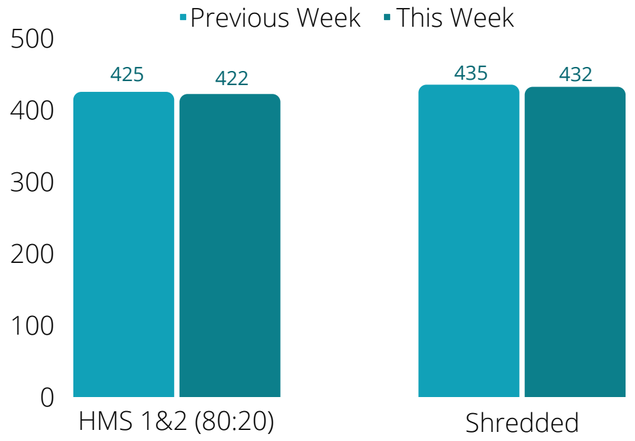
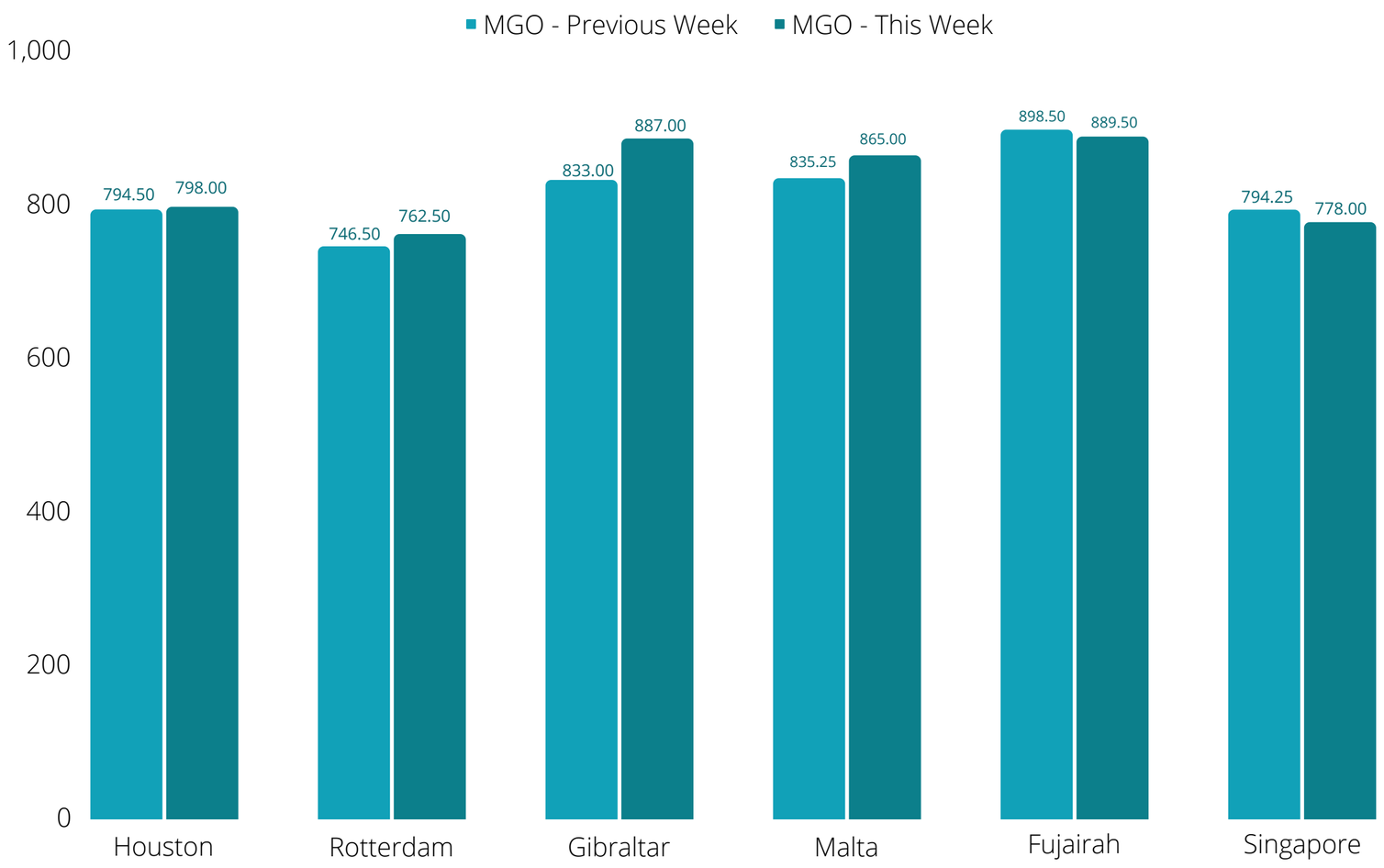


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 79.16
Previous Week	: 79.82
Movement	: - 0.66

WTI Crude

This Week	: 74.19
Previous Week	: 74.40
Movement	: - 0.21

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MSC UMA	CONTAINER	9163192	1998	POLAND	10,455	DELIVERED	ALANG, INDIA (STRICT HKC RECYCLING)	525
DUTA 1	RO-RO	9033751	1991	JAPAN	5,931	DELIVERED	CHITTAGONG, BANGLADESH	500
HABIBA M	GENERAL CARGO	7396654	1975	NETHERLANDS	1,357	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
ALGOMA TRANSPORT	BULKER	7711737	1979	CANADA	9,148	AS-IS	CANADA	UNDISCLOSED
GREEN FREEZER	REEFER	8819304	1991	NORWAY	2,979	DELIVERED	ALANG, INDIA CLASS NK, HKC RECYCLING	UNDISCLOSED
MOBY VINCENT	RO-RO	7360605	1974	GERMANY	5,479	AS-IS	LEGHORN, ITALY	UNDISCLOSED
TRINITY BAY	CARGO PASSENGER	9149990	1996	SOUTH KOREA	1,367	AS-IS	NORTH AUSTRALIA	225
JIN YUAN HE	CONTAINER	9008536	1991	GERMANY	6,710	DELIVERED	CHITTAGONG, BANGLADESH	535
MSC EAGLE F	GENERAL CARGO	9190092	2000	CHINA	6,878	DELIVERED	ALANG, INDIA YARDS AS PER MSC LIST	UNDISCLOSED
MTT SINGAPORE	CONTAINER	9131060	1996	SOUTH KOREA	3,826	AS-IS	MALAYSIA	UNDISCLOSED

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